

DEPARTMENT OF ECONOMICS
MACROECONOMICS: ECN 1215 SECOND HALF JULY 2017
TUTORIAL SHEET 3

1. Explain what is meant by Natural Rate of Unemployment?
2. Explain the trade-off between inflation and unemployment
3. Why is it often said that the official unemployment rate tends to underestimate the true extent of unemployment in the economy?
4. What are the major types of unemployment?
5. Explain demand-side policies used to reduce unemployment
6. Explain supply-side policies used to reduce unemployment
7. In each of the following cases, classify the person as cyclically unemployed, structurally unemployed, frictionally unemployed, or not in the labor force. Explain your answers.
 - a. John just graduated from a top medical school and is currently deciding which hospital emergency room job she will accept.
 - b. Peter lost his job as an assembly line worker at Chrysler due to the recession.
 - c. Joseph, an advertising executive in Seattle, quit his job one month ago to look for a more prestigious advertising job in New York City. He is still looking for a job.
 - d. Jane got laid off from her job as a financial analyst 3 months ago and has not looked for a new job since then.
 - e. James lost his job as a welder due to the introduction of robotic welding machines.
 - f. Mercy quit her job as a hotel concierge to become a full-time student at a culinary school.
8. If the natural rate of unemployment was 6 percent, the current unemployment rate was 12 percent, and the nominal GDP was \$4,000 billion, then according to Okun's law calculate how much potential output would the economy have sacrificed?

9. Suppose the number of employed people in an economy is 121,166,640. The unemployment rate in this economy is 10.4 percent, or 0.104, and the labor force participation rate is 72.5 percent, or 0.725.
- What is the size of the labor force?
 - How many people are unemployed?
 - What is the size of the working-age population?
10. If the labor force of a country as of May 2008 was 154.5 million. There were 146 million employed, and 8.5 million unemployed. There were about 2.18 million in prison.
- Calculate the official unemployment rate.
 - If those 2.18 million people were not in prison, but were in the labor force and unemployed, calculate what the unemployment rate would be.